Business Recommendations: Nike Sales Analysis

Prepared by Dian Jain | Based on 40 orders, January to December 2024 | Case-study dataset: recommendations are illustrative, not a real Nike decision

Summary

The analysis indicates that Nike's 2024 sales are concentrated in time and in place. Q4 delivers 57% of annual revenue, and four regions (Pune, Bangalore, Hyderabad, Kolkata) bring 78% of it, while Delhi and Mumbai together contribute only 22%. Pune leads on revenue (21.4%) and has one of the highest average margins (about 18%), so it should be protected. Five of six regions finished below budget, but only by 1.3% to 3.5%, so the budget gap is a watch item rather than an emergency.

Findings and recommended actions

#	What the analysis shows	Recommended action
1	**Delhi and Mumbai lag on revenue.** Each has 5 orders and about 11% of revenue (22.4% combined). Delhi still earns a healthy average margin (18.2%), so its gap is volume. Mumbai also has the lowest average margin (11.6%) and earns 9.1% of profit from 11.2% of revenue.	Prioritise **Delhi for volume growth** (more orders, wider product range) and **Mumbai for a pricing and cost-mix review** before adding volume.
2	**Five of six regions missed budget, narrowly.** Mumbai (-3.5%) and Hyderabad (-3.2%, the largest gap at 3,146) are furthest below. Only Kolkata beat budget (+0.7%).	Review budgets for **Hyderabad and Mumbai** first. Check whether budgets were set too high for a Q4-heavy year before treating the gaps as a sales-team problem.
3	**Discounting shows no revenue benefit.** 17 of 40 orders (42.5%) carried a discount. Orders with no discount average 14.3K in revenue, against 5.4K for low-discount and 11.1K for high-discount orders. The link between discount and revenue is weak and negative (-0.15). Discounted orders did not earn lower margins, so the concern is order size, not margin. Basketball (62.5% of orders discounted) and Training (50%) rely on discounts most; Lifestyle least (25%).	Do **not widen blanket discounting**. Review discounts in **Basketball and Training** first, and run a controlled test before extending any offer.
4	**Two products carry the business; two need a review.** Blazer Mid (61.2K, 12.7% of revenue) and SuperRep Go (48.7K) rank first and second on both revenue and profit. LeBron 20 ranks 8th on revenue but 13th on profit, and Free RN has the lowest average margin of any product with two or more orders (8.3%).	**Protect and promote Blazer Mid and SuperRep Go.** Review pricing and costs for **LeBron 20 and Free RN**.
5	**Sales are highly seasonal.** Q4 brings 57% of revenue (24 of 40 orders). Q1 and Q2 together bring only 11.5% (5 orders). The growth rates of 167%, 276% and 81% start from a very small base.	Plan **stock, staffing and campaigns around Q4**, and investigate what limits the first half of the year instead of relying on late-year momentum.

Risks and limitations

- **Small sample.** There are 40 orders: Q1 has 2, and most products have 1 to 4. Findings are indicative, so actions should be tested before large changes.
- **Margin definition.** The dataset's margin field is profit as a percentage of cost, averaged across orders. Overall profit as a percentage of revenue is 13.5%.
- **Discount field.** Its unit is not documented (values run from 0 to 1.2), so conclusions use the raw values and show association, not cause.
- **One year of data.** Seasonality cannot be separated from one-off effects, and budget gaps of 1% to 3.5% may be normal variation.

Next steps

1. Validate the findings on a larger dataset (several years, more orders per product and region).
2. Confirm the discount unit and policy with the data owner, then pilot a controlled discount test in Basketball and Training.
3. Add budget variance and discount views to the Power BI dashboard.

4. Set volume targets for Delhi and review Mumbai's pricing and cost mix.
5. Track the Q4 versus first-half split each quarter to see whether the concentration persists.